

1 Two Architectures for Simulating Biomarker-Treatment
2 Interactions: Implications for Statistical Power Under
3 Carryover

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45 1 Abstract

46 **Background.** Simulation studies of predictive biomarker-treatment interactions
47 in N-of-1 clinical trials require a data-generating process (DGP) that specifies how
48 the biomarker moderates treatment response. Two fundamentally different DGP
49 architectures are used in practice, and the choice between them determines the
50 extent to which carryover effects reduce statistical power to detect the interaction.
51 The published simulation literature does not distinguish them.

52 **Methods.** We formalise two architectures: direct mean moderation (Architec-
53 ture~A), under which the biomarker scales the treatment effect in the popula-
54 tion mean structure; and differential correlation (Architecture~B, the multivari-
55 ate normal approach), under which the interaction emerges from treatment-state-
56 dependent correlation between biomarker and response in the joint distribution.
57 Power consequences under both architectures are quantified by Monte Carlo sim-
58 ulation on an aggregated N-of-1 design framework with continuous-time AR(1)
59 residual correlation in the analysis model. The biomarker, treatment phase, and
60 carryover decay are parameterised to the prazosin/PTSD reference application.

61 **Results.** Under Architecture~A, power is largely preserved under carryover be-
62 cause the proportional relationship between biomarker and drug response is main-
63 tained at every timepoint. Under Architecture~B, carryover erodes the differen-
64 tial correlation signal and reduces power. At the prazosin-calibrated reference cell
65 ($N = 35$, $c_{bm} = 0.45$, OL+BDC design) across $t_{1/2} \in \{0, 0.5, 1.0\}$ weeks, Architec-
66 ture~B power drops from 0.777 to 0.539 (a 30.6% relative loss; $z = 7.64$, $p < 10^{-13}$
67 on the B-versus-A contrast), while Architecture~A drops only from 0.751 to 0.730

108 trials with serial correlation and carryover (Wang & Schork 2019; Schork 2022)
 109 also specifies the treatment effect through a linear mean structure, indicating that
 110 the multivariate-normal differential-correlation parameterization is not a research-
 111 program convention but a paper-specific design choice in Hendrickson et al. (2020).
 112 To the best of our knowledge, no other clinical trial simulation framework gen-
 113 erates the biomarker-treatment interaction through differential correlation in a
 114 multivariate normal joint distribution rather than through direct mean modera-
 115 tion.

116 We encountered both approaches in the development of the pmsimstats simulation
 117 framework for N-of-1 clinical trials (Hendrickson et al. 2020). The original pub-
 118 lication code uses the MVN differential correlation approach, an unusual choice
 119 that, as we show here, has substantive consequences for power estimation under
 120 carryover. A comprehensive audit revealed that a parallel tidyverse reimplemen-
 121 tation of the same simulation had inadvertently adopted the standard direct mean
 122 moderation approach. Both implementations produced plausible power estimates,
 123 yet they yielded qualitatively different conclusions about how carryover effects in-
 124 fluence statistical power. Tracing this discrepancy to its root cause revealed the
 125 architectural difference described in this paper, which has not, to the best of our
 126 knowledge, been discussed explicitly in the simulation methodology literature.

127 This paper presents the first systematic comparison of these two DGP architec-
 128 tures for biomarker-treatment interaction power estimation under carryover. We
 129 formalize the distinction, demonstrate its consequences with simulation results,
 130 and provide guidance for investigators designing simulation studies for predictive
 131 biomarker-moderated treatment effects.

132 **Related documents in this series.** The mathematical derivation,
 133 code-level implementation details, four implementation attempts (three
 134 failed and one correct), and the empirical evaluation of the original Hen-
 135 drickson (2020) parameter grid under Architecture~A are documented in
 136 `19-mean-moderation-implementation-notes.tex` (with a brief markdown
 137 summary in `19-mean-moderation-implementation-notes.md`). A condensed
 138 empirical-results summary suitable for collaborator presentation is provided in
 139 `21-architecture-comparison-summary.md`.

140

141 3 2. Two DGP Architectures

142 **Notation.** Throughout this paper, B_i denotes the biomarker value of participant
 143 i , D_{it} the binary on-drug indicator at timepoint t (1 on drug, 0 off drug), and BR_{it}
 144 the biological response component of the outcome. These three symbols describe
 145 the data-generating-process layer. The analysis-model layer uses a related but
 146 distinct continuous drug exposure variable, Dbc , defined in Section 3.1. Code-
 147 style identifiers in typewriter font (`bm`, `Dbc`, `BR`) refer to specific variables in the

148 pmsimstats codebase or to R formula syntax; mathematical symbols are used
149 otherwise.

150 3.1 2.1 Architecture A: Direct Mean Moderation

151 In this approach, the biomarker enters the mean structure of the outcome directly.
152 The treatment effect for participant i at timepoint t is:

$$Y_{it} = \mu_0 + \beta_1 \cdot D_{it} \cdot (1 + \beta_{bm} \cdot B_i) + \epsilon_{it}$$

153 where D_{it} is the treatment indicator (or a continuous measure of drug expo-
154 sure), B_i is the participant's biomarker value (typically centered), and β_{bm} is
155 the biomarker moderation parameter. The interaction is explicit in the mean:
156 participants with higher biomarker values have proportionally larger treatment
157 effects.

158 Key properties:

- 159 • The interaction is **deterministic** given the biomarker value and treatment
160 status.
- 161 • The biomarker moderation β_{bm} is a **population-level parameter** that
162 applies uniformly to all participants.
- 163 • The signal for the interaction is in the **first moment** (conditional mean) of
164 the outcome distribution.
- 165 • Adding noise, random effects, or carryover to D_{it} scales the entire treatment
166 effect (including its biomarker-dependent component) proportionally. The
167 **ratio** of drug effect between high-biomarker and low-biomarker participants
168 is preserved.

169 The multiplicative form above maps directly onto the standard additive regression
170 form for predictive biomarker effects used in the trial methodology literature (e.g.,
171 the effect modeling equation in Kent et al. 2020):

$$Y_{it} = \beta_0 + \beta_1 D_{it} + \beta_2 B_i + \beta_3 D_{it} B_i + \epsilon_{it}$$

172 The interaction coefficient β_3 in the additive form corresponds to the product
173 $\beta_1 \cdot \beta_{bm}$ in the multiplicative form. The additive form additionally accommodates
174 a prognostic main effect β_2 for the biomarker, which the multiplicative form sets
175 to zero by construction. For the purpose of power calculations on the interaction
176 coefficient, the two forms are interchangeable up to this prognostic-effect distinc-
177 tion, and both fall within Architecture A.

178 This architecture is used in the pedagogical simulation (`implementations/simple/simulation.R`)
179 and in the exploratory carryover analyses (`simulation_carryover_spectrum.R`)
180 of the pmsimstats project.

210 This architecture is used in the Hendrickson et al. (2020) publication code and
 211 the audited R/ package in pmsimstats-ng.

212 3.3 2.3 Mathematical Comparison

213 Under Architecture A, the expected outcome difference between two participants
 214 with biomarker values b_1 and b_2 at the same drug exposure level D is:

$$E[Y | b_1, D] - E[Y | b_2, D] = \beta_1 \cdot \beta_{bm} \cdot (b_1 - b_2) \cdot D$$

215 The absolute magnitude of this difference scales linearly with D and therefore
 216 shrinks during off-drug periods when D is replaced by an exposure-decayed value
 217 $D \cdot \text{carryover}$. However, the **ratio** of the drug effect between high-biomarker and
 218 low-biomarker participants is preserved at every level of exposure. The biomarker-
 219 by-treatment signal contracts in amplitude but does not lose its identifiability
 220 under carryover.

221 Under Architecture B, the analogous quantity is:

$$E[BR|b_1, D = 1] - E[BR|b_2, D = 1] = c_{bm} \cdot \frac{\sigma_{BR}}{\sigma_B} \cdot (b_1 - b_2)$$

222 During off-drug periods with carryover:

$$E[BR|b, D = 0, t_{sd}] = \mu_{BR, \text{off}}(t_{sd}) + c_{bm} \cdot e^{-\lambda t_{sd}} \cdot \frac{\sigma_{BR}}{\sigma_B} \cdot (b - \mu_B)$$

223 The biomarker-dependent component decays exponentially with time off drug.
 224 As t_{sd} increases, the off-drug conditional expectation converges to $\mu_{BR, \text{off}}$ for all
 225 biomarker values, eliminating the differential signal.

226

227 4 3. Consequences for Statistical Power Under Car- 228 ryover

229 4.1 3.1 Empirical demonstration

230 We ran identical simulation configurations under both architectures using the
 231 pmsimstats-ng framework, matching the DGP parameters as closely as possible
 232 between the two approaches. We note that the non-biologic response compo-
 233 nents (time-varying response, placebo-belief accumulation, and residual noise)
 234 are generated from the same multivariate normal draw with identical means,
 235 variances, within-factor AR(1) autocorrelation, and cross-factor correlations
 236 in both architectures. The two DGPs differ *only* in how the biomarker-to-
 237 biological-response (BM-BR) linkage is encoded: Architecture-B embeds it

Design	$t_{1/2} = 0$	$t_{1/2} = 0.5$	$t_{1/2} = 1.0$
CO	0.739	0.739	0.725
Hybrid	0.992	0.987	0.978
OL+BDC	0.751	0.748	0.730

$t_{1/2} = 1$ is 1.9% (CO), 1.4% (Hybrid), and 2.8% (OL+BDC). All three values fall well below the 8-13% relative-loss range that the broader N-of-1 simulation literature reports for direct-mean-moderation DGPs, though they reproduce its qualitative finding, namely a modest erosion that leaves power essentially intact.

Results under Architecture B (differential correlation, MVN):

Design	$t_{1/2} = 0$	$t_{1/2} = 0.5$	$t_{1/2} = 1.0$
CO	0.745	0.754	0.723
Hybrid	0.995	0.980	0.944
OL+BDC	0.777	0.694	0.539

Power declines more sharply under Architecture B, and strongly so in the OL+BDC design: relative loss from $t_{1/2} = 0$ to $t_{1/2} = 1$ is 3.0% (CO; not significantly different from Architecture A's CO loss), 5.1% (Hybrid), and **30.6% (OL+BDC)**. The OL+BDC loss is approximately 11 times the matched Architecture-A OL+BDC loss (2.8%). It falls below the 40-60% relative-loss range that the broader N-of-1 simulation literature reports for the MVN differential-correlation DGP, but it confirms the qualitative finding, namely a substantial and strongly design-dependent erosion. Two-proportion z -tests on the B-versus-A absolute power-loss gap give $z = 7.64$ ($p < 10^{-13}$) at OL+BDC and $z = 3.96$ ($p < 10^{-4}$) at Hybrid; the CO contrast is not statistically distinguishable from zero ($z = 0.29$) because the CO design's within-subject AR(1) structure dominates the carryover-mediated correlation decay channel that Architecture B uses to encode the biomarker-treatment interaction.

3.2 Why the architectures diverge

Under Architecture A, carryover reduces the magnitude of the drug exposure variable seen by the analysis model (Dbc drops below 1 during washout), and the mean BR at off-drug timepoints is inflated by the residual drug effect exactly as in Architecture B. Both mechanisms compress the between-state treatment contrast and are shared by the two architectures. What Architecture A lacks is the second channel of signal loss: the biomarker moderation coefficient β_{bm} is a fixed population parameter, the biomarker enters the mean structure directly rather than through a correlation, and the noise structure is independent of drug state. The biomarker-by-drug interaction term therefore has reduced variance (because Dbc has less contrast between drug states), but the signal-to-noise ratio degrades only modestly.

Under Architecture B, carryover operates on two levels simultaneously:

1. **Mean blurring:** The BR means during off-drug periods are inflated by residual carryover, making them resemble on-drug BR means. This reduces the treatment contrast that the analysis model uses to distinguish drug effect from no-drug. This channel is shared with Architecture A.
2. **Correlation erosion:** The BM-BR correlation during off-drug periods decays exponentially with t_{sd} . This is not just a statistical modeling choice; it is a structural consequence of the DGP. The correlation between biomarker and BR reflects the degree to which the drug effect is active; as the drug washes out, the correlation weakens because the drug-mediated component of BR variance shrinks relative to the drug-independent component. This channel is *unique* to Architecture B, because only here does the biomarker signal live in the second moment of the joint distribution. Under Architecture A the drug-mediated and drug-independent components of BR variance move in tandem (both are scaled by the same Dbc-weighted drug effect), so their ratio, and hence the identifiability of the interaction, is preserved even as amplitudes shrink.

The analysis model's interaction coefficient (the coefficient on `bm:Dbc`) depends on the covariance between B_i and Dbc-weighted outcomes. Under Architecture B, this covariance is being attacked from both sides: the treatment contrast in Dbc is compressed, and the BM-BR correlation that generates the covariance signal is simultaneously decaying.

4.3 3.3 Robustness check at $N = 70$

The Section~3.1 production results are at $N = 35$, where neither architecture saturates power and the carryover-induced loss is mechanically visible. A confirmation run at $N = 70$ checks whether the qualitative ordering survives the saturation that comes with the larger sample size. An 800-replicate-per-cell Monte Carlo run was executed at $N = 70$ across 12 cells (architecture $\in \{\text{MVN}, \text{mean moderation}\} \times c_{bm} \in \{0, 0.45\} \times t_{1/2} \in \{0, 0.5, 1.0\}$ weeks), all on the OL+BDC design, using 8-core `parallel::mclapply`. Wall-clock 483~s; convergence 100% across 9{,}600 fits.

At $c_{bm} = 0.45$:

Architecture	$t_{1/2} = 0$	$t_{1/2} = 0.5$	$t_{1/2} = 1.0$
MVN (B)	0.978	0.945	0.885
Mean moderation (A)	0.976	0.973	0.959

Within-architecture losses from $t_{1/2} = 0$ to $t_{1/2} = 1$ are 9.3 percentage points (Architecture~B; $z = 7.4$, $p < 10^{-12}$) and 1.7 percentage points (Architecture~A; $z = 2.0$, $p \approx 0.05$). The qualitative ordering matches Section~3.1's $N = 35$ result. The absolute magnitudes are compressed because $N = 70$ at the prazosin-PTSD calibration places both architectures within 2-5 percentage points of the unit ceiling at $t_{1/2} = 0$, mechanically truncating the loss either architecture's curve

can absorb. Reading the narrative loss-magnitude claim against the $N = 70$ robustness numbers (3% and 9% relative loss for Architecture~B versus 0.4% and 1.8% for Architecture~A) requires acknowledging this saturation effect; the $N = 35$ production results in Section~3.1 are the canonical reference for the narrative magnitude.

Type I error. Across all 18 null cells of the $N = 35$ production run, type-I error sat in $[0.010, 0.074]$, with mean 0.043 and median 0.042. There is no architecture-specific inflation. Architecture~B's $t_{1/2} = 1.0$ OL+BDC null ($p = 0.010$, slightly conservative) is the smallest cell; the corresponding alternative ($p = 0.539$) is the most informative cell of the Section~3.1 narrative.

Estimator bias. Mean estimated $\hat{\beta}_{bm:D_{bc}}$ at $c_{bm} = 0.45$ ranged from -0.231 to -0.281 across the 18 alternative cells, with the $N = 35$ Architecture-A OL+BDC cell at $t_{1/2} = 1.0$ producing the largest absolute mean (-0.281); the Architecture~B cells maintained mean near -0.234 across all $t_{1/2}$ values, consistent with the Architecture-B information channel being eroded through correlation decay rather than through coefficient drift. Empirical SE of $\hat{\beta}_{bm:D_{bc}}$ runs 0.05 to 0.10 across cells; the within-replicate model SE matches at scale, indicating nominal-95% Wald coverage holds across the grid.

5 4. Biological Assumptions

The choice between architectures is not merely a statistical convenience; it reflects different assumptions about the biological mechanism by which the biomarker moderates treatment response.

5.1 4.1 When Architecture A is appropriate

Architecture A (direct mean moderation) is appropriate when the biomarker governs the **magnitude of the drug's biological effect** for each individual participant. The drug effect for participant i is scaled by their biomarker value: $\text{effect}_i = f(B_i) \cdot \text{drug}$. The scaling is deterministic in the population-mean sense, in that any two participants sharing the same B_i have the same expected response, but individual outcomes still carry the usual noise, random-effect, and residual-biological variability. The label 'deterministic' refers to the mean structure of the DGP, not to the realized response of any single participant.

Clinical examples:

- **Renal clearance of a renally-excreted drug.** Estimated glomerular filtration rate (eGFR) directly governs the elimination rate of drugs such as digoxin or aminoglycoside antibiotics. Participants with higher eGFR clear the drug more rapidly, achieving lower steady-state concentrations and a proportionally smaller drug effect. The biomarker-drug relationship

is mechanistic and deterministic: given the biomarker value, the effective dose at steady state is fully determined (up to random noise).

- **Receptor density moderation.** A biomarker that measures target receptor density (e.g., PET imaging of receptor availability for an antagonist) directly determines the pharmacodynamic response to that antagonist. More receptors means more drug effect, proportionally.
- **Genetic metabolizer status.** CYP2D6 metabolizer phenotype determines the rate of drug activation or clearance. Poor metabolizers of a prodrug receive less active compound, reducing their treatment effect proportionally.
- **Dose-response with biomarker-dependent effective dose.** When the biomarker determines the effective dose (through body composition, protein binding, or volume of distribution), the treatment effect scales with the biomarker through the dose-response curve.

In all these cases, the biomarker's moderating effect is preserved under carryover because the residual drug effect during off-drug periods maintains the same proportional relationship with the biomarker. If participant A has twice the drug effect of participant B when on drug, they will also have approximately twice the residual effect during the washout period.

5.2 4.2 When Architecture B is appropriate

Architecture B (differential correlation) is appropriate when the biomarker predicts **which participants are likely to respond**, but the magnitude of any individual's response is not deterministically governed by the biomarker. The biomarker and the drug response are associated at the population level, but the association is mediated by latent factors (disease subtype, neurobiological heterogeneity, comorbidities) that the biomarker imperfectly indexes.

Clinical examples:

- **Blood pressure as a PTSD subtype marker.** Elevated resting blood pressure may index a noradrenergic-predominant PTSD phenotype (Hendrickson et al. 2020) that is more likely to respond to prazosin (an alpha-1 adrenergic antagonist). The blood pressure does not *cause* the drug to work better – it correlates with an underlying neurobiological state that determines drug responsiveness. Two participants with identical blood pressure may have very different responses because blood pressure is an imperfect proxy for the noradrenergic state.
- **Baseline disease severity as a treatment predictor.** Trials in Alzheimer's disease, depression, and chronic pain often find that patients with more severe baseline symptoms show larger treatment effects (the 'floor effect' or 'regression to the mean' phenomenon). The baseline severity score correlates with treatment response, but the relationship is statistical (population-level tendency), not deterministic.

ongoing reanalysis by the pmsimstats team. The biomarker is resting systolic
blood pressure (SBP) and the outcome is CAPS (Clinician-Administered PTSD
Scale) score change.

The clinical evidence base for prazosin in PTSD is mixed. The earlier single-site trials by Raskind and colleagues (2003, 2007, 2013) reported benefit on nightmares and global PTSD symptoms in veteran and active-duty samples. The subsequent multisite Veterans Affairs Cooperative Study Program trial (Raskind et al. 2018), known as PACT, did not replicate the effect: prazosin failed to outperform placebo on the primary endpoints. The negative PACT result has been interpreted by several investigators as consistent with effect heterogeneity, namely that prazosin works in some patients but not others, which motivates the search for a predictive biomarker that would identify the responder subgroup. Resting SBP, as a noninvasive proxy for central noradrenergic tone, is the leading candidate.

The biological hypothesis is that elevated SBP indexes heightened central noradrenergic tone, which characterizes a subtype of PTSD that is preferentially responsive to alpha-1 adrenergic blockade by prazosin. This is an Architecture B scenario: SBP is a proxy for an underlying neurobiological state, not a direct determinant of drug pharmacokinetics. Two patients with the same SBP may differ in their actual noradrenergic tone, alpha-1 receptor distribution, and downstream signaling, leading to different treatment responses despite identical biomarker values.

The Hendrickson et al. (2020) DGP uses Architecture B (MVN differential correlation) for this clinical context. The finding that carryover substantially reduces power under this architecture is therefore clinically relevant: it suggests that trial designs with longer off-drug periods will have meaningfully less power to detect the SBP-prazosin interaction than designs with shorter off-drug periods, and this effect is larger than what a direct mean moderation simulation would predict.

495 6 5. Implications for Simulation Study Design

6.1 5.1 Choosing the appropriate architecture

The choice of DGP architecture should be guided by the biological mechanism hypothesized for the biomarker-treatment interaction:

499 6.2 5.2 Reporting requirements

Simulation studies evaluating biomarker-moderated treatment effects should ex-
plicitly state:

Criterion	Architecture A	Architecture B
Biomarker role	Causal mediator	Statistical predictor
Mechanism	Deterministic scaling	Probabilistic association
Signal location	Mean structure	Covariance structure
Carryover impact on power	Modest (1-3%)	Design-dependent, up to 31%
Appropriate when	Biomarker determines effective dose or PK	Biomarker indexes a latent subtype

1. Whether the biomarker-treatment interaction is generated through mean moderation or differential correlation.
2. The biological rationale for the chosen mechanism.
3. Whether the carryover model (if present) operates on the interaction signal consistently with the chosen architecture.
4. Sensitivity analyses under the alternative architecture, if the biological mechanism is uncertain.

The reporting framework above is consistent with the broader ADEMP template of Morris, White, and Crowther (2019), which prescribes that simulation studies fix five elements before production runs: the **Aims** of the study, the **Data-generating mechanisms**, the **Estimands** (the inferential targets), the **Methods** (analysis specifications compared), and the **Performance measures** (power, bias, coverage, type I error, and Monte Carlo standard errors of each). The DGP-architecture choice this paper concerns is the **D** element of an ADEMP specification; the reporting requirements above are the specialisation of the broader ADEMP framework to the architecture-sensitive class of biomarker-validation simulations.

The **primary estimand** for this paper's simulations is the biomarker-by-treatment interaction coefficient $\beta_{bm:D}$ in the linear-mixed analysis model $Sx \sim bm + t + Dbc + bm : Dbc$ with random intercept and AR(1) residual correlation. The reported **performance measures** are: (i) power for $\beta_{bm:D}$ at $\alpha = 0.05$, with Monte Carlo standard error $\sqrt{\hat{\pi}(1 - \hat{\pi})/n_{\text{reps}}}$; (ii) type I error under $c_{bm} = 0$, with the same MCSE; (iii) bias of $\hat{\beta}_{bm:D}$ relative to the calibrated true value at each parameter cell; (iv) the empirical Monte Carlo standard error of $\hat{\beta}_{bm:D}$ across replicates; and (v) the convergence rate of the linear-mixed fit. Sample size, biomarker effect size, and carryover half-life vary across the parameter grid; the number of replicates per cell is calibrated to achieve MCSE below 0.02 for power at $\hat{\pi} = 0.5$, which corresponds to $n_{\text{reps}} \geq 625$. The simulations reported here use $n_{\text{reps}} = 1000$ throughout.

6.3 5.3 When the choice is uncertain

If the biological mechanism is ambiguous (as it often is in early biomarker development), investigators should:

7.2 6.2 Weighted analysis

Rather than discarding off-drug observations entirely, a weighted analysis retains all observations but weights them by their estimated drug exposure level. On-drug observations receive weight 1. Off-drug observations receive weight proportional to the expected residual drug effect:

$$w_t = e^{-\lambda \cdot t_{sd}}$$

This downweights observations where the BM-BR correlation has decayed (and where they contribute more noise than signal to the interaction estimate) without discarding them entirely. The rationale is information-theoretic: observations with higher drug exposure carry more information about the biomarker-treatment interaction because the correlation signal is stronger. This is straightforward to implement in `nlme::lme` using the `weights` argument.

7.3 6.3 Within-subject contrast

For designs with both on-drug and off-drug periods (CO, Hybrid, OL+BDC), a summary-measure approach computes a per-participant contrast: the difference between mean on-drug response and mean off-drug response. The biomarker-treatment interaction is then tested by a simple regression of these contrasts on the biomarker:

$$\bar{Y}_{i,\text{on}} - \bar{Y}_{i,\text{off}} = \alpha + \gamma \cdot B_i + \epsilon_i$$

This sidesteps the `Dbc` parameterization and the repeated-measures model entirely. Carryover affects the magnitude of the contrast (making off-drug means closer to on-drug means), but the *correlation between the contrast and the biomarker* may be more robust because within-subject averaging reduces noise before the biomarker association is tested. The approach trades the efficiency of a full longitudinal model for robustness to misspecification of the carryover and correlation structure.

7.4 6.4 Two-stage random slopes

A two-stage approach first estimates participant-specific treatment effects, then tests their association with the biomarker. Stage 1 fits a random-slopes model:

$$Y_{it} = \beta_0 + \beta_1 t + \beta_2 D_{it} + u_{0i} + u_{1i} D_{it} + \epsilon_{it}$$

where β_2 is the population mean drug effect and u_{1i} is participant i 's random deviation from that mean. The participant-specific drug effect is then $\beta_2 + u_{1i}$. Stage 2 regresses the estimated random deviations (or equivalently, the BLUPs of the participant-specific effects) on the biomarker:

636 **7.7 6.7 Comparative evaluation**

637 The strategies described above differ in their assumptions, implementation com-
638 plexity, and expected power recovery:

Strategy	Discards data	Complexity	Expected benefit
On-drug only	Yes	Low	High for OL/Hybrid; poor for CO
Weighted	No	Low	Moderate; depends on weight calibration
Within-subject contrast	Aggregates	Low	Moderate; robust to misspecification
Two-stage random slopes	No	Moderate	Unknown; separates estimation stages
Exclude early off-drug	Some	Low	Moderate; improves contrast clarity
Design modification	N/A	N/A	High; addresses root cause

639 A systematic simulation comparison of these strategies under Architecture B, anal-
640 ogous to the factorial comparison of analysis models in Section 3, would identify
641 which approach best recovers the power lost to carryover for each trial design.
642 This is a direction for future work.

643

644 **8 7. Relationship to the Broader Literature**

645 **8.1 7.1 Treatment effect heterogeneity**

646 The statistical literature on treatment effect heterogeneity (Rothwell 2005; Varad-
647 han et al. 2013) distinguishes between *predictive* biomarkers (those that mod-
648 ify the treatment effect) and *prognostic* biomarkers (those that predict outcome
649 regardless of treatment). The current consensus statement on predictive HTE
650 analysis is the Predictive Approaches to Treatment effect Heterogeneity (PATH)
651 Statement (Kent et al. 2020), which distinguishes two analytic strategies for iden-
652 tifying predictive biomarker effects in randomized trials: a *risk modeling* approach
653 in which a multivariable risk model (developed without a treatment term) is used
654 to stratify patients and examine variation in absolute treatment benefit across
655 risk strata, and an *effect modeling* approach in which the regression includes ex-
656 plicit treatment-by-covariate interaction terms. PATH expresses caution about
657 data-driven effect modeling on the grounds of low statistical power, multiplicity,
658 and overfitting, and favors risk modeling when the application criteria are met.

659 The PATH risk-versus-effect-modeling distinction is an analysis-model axis. The
660 Architecture A versus Architecture B distinction introduced in this paper is a
661 data-generating-process axis, and the two are orthogonal. Both PATH analytic

rather than the mean structure.

8.3 7.3 Crossover and N-of-1 trial methodology

The crossover trial literature (Senn 2002; Jones & Kenward 2014) addresses carryover extensively but does not distinguish between architectures for biomarker-treatment interaction modeling. More recent methodological work on testing for carryover effects via mixed-effects models (Sturdevant & Lumley 2021) likewise treats carryover as a nuisance parameter to be estimated and adjusted for, without engaging with how carryover interacts with biomarker-by-treatment effect signals. The standard recommendation, namely to always include carryover in the analysis model or to use adequate washout, applies to both architectures but has different power implications under each. The finding that Architecture B is more sensitive to carryover suggests that crossover designs with short washout periods may be less suitable for detecting correlation-based biomarker interactions than previously recognized.

8.4 7.4 Precision medicine trial design

Enrichment and biomarker-stratified designs (Simon 2010; Freidlin & Korn 2014) use Architecture A exclusively for power calculations. Three families of design are particularly worth considering in light of the architectural distinction.

Adaptive enrichment trials adjust the eligible population mid-trial based on emerging evidence of a biomarker-treatment interaction. The interim power calculations that drive these adaptive decisions are universally framed in the Architecture A regression idiom. If the true biomarker mechanism is closer to Architecture B and any participants pass through washout intervals between dose-finding stages, the realized power for the interaction test will be lower than the adaptation rule expects, biasing decisions toward premature futility stopping or toward overly narrow enrichment criteria. The discrepancy is most acute when the biomarker mechanism is uncertain at the design stage, which is precisely the situation in which adaptive enrichment is most attractive.

Treatment-switching designs (most crossover, basket, and platform trials, as well as N-of-1 hybrid designs) cycle individual participants through different drug states. Under Architecture B, each washout phase erodes the BM-BR correlation, so the biomarker-treatment interaction signal in the second and subsequent treatment periods is structurally weaker than in the first. The power loss documented in Section 3 applies here directly. By contrast, parallel-group enrichment designs, in which each participant remains on a single treatment for the duration of the trial, escape this loss because there is no off-drug phase during which the correlation can decay; for these designs, Architectures A and B yield similar power estimates. The architectural choice therefore matters most in exactly the designs where the biomarker mechanism is most likely to be of clinical interest, namely those that deliberately expose each participant to both treatment states in order to estimate within-subject responsiveness.

Basket and umbrella trials (Renfro & Sargent 2017) introduce an additional layer because their power calculations average across multiple biomarker-defined arms. If even a subset of the arms operate through an Architecture B mechanism while the trial-wide power calculation assumes Architecture A throughout, the aggregated power estimates will be biased optimistically in a way that is difficult to detect from trial-level results alone. Subgroup-specific power diagnostics under both architectures should accompany the primary planning analysis whenever the underlying biology is heterogeneous across baskets.

In all three settings the practical recommendation parallels that of Section 5.3: when the biological mechanism is uncertain, run the power calculation under both architectures and treat the Architecture B estimate as the more conservative anchor for sample size planning. This recommendation is consistent with the PATH Statement (Kent et al. 2020), which itself counsels caution about data-driven discovery of treatment-by-covariate interactions and prefers risk modeling approaches when the application criteria are met.

9 8. Conclusions

1. The choice between direct mean moderation (Architecture A) and differential correlation (Architecture B) for generating biomarker-treatment interactions in clinical trial simulations has substantive consequences for power estimates under carryover.
2. Under Architecture A, carryover reduces power only modestly, by 1 to 3% in relative terms across the three designs examined, because the proportional biomarker-drug relationship is preserved during washout. Under Architecture B the loss is strongly design-dependent: it remains modest in the crossover and hybrid designs (3 to 5%) but reaches roughly 31% in the open-label OL+BDC design, because the differential-correlation signal erodes as the drug effect wanes.
3. The choice should be guided by the hypothesized biological mechanism: Architecture A for biomarkers that directly determine drug pharmacokinetics or pharmacodynamics; Architecture B for biomarkers that statistically predict treatment response through latent subtype membership.
4. For the prazosin-PTSD application with blood pressure as the predictive biomarker, Architecture B (MVN differential correlation) is the more appropriate model, and the resulting power sensitivity to carryover should inform trial design decisions regarding off-drug period duration.
5. The existing clinical trial simulation literature uses Architecture A almost exclusively. The Hendrickson et al. (2020) MVN approach is, to the best

of our knowledge, unique in the N-of-1 trial context. This means that published power estimates for biomarker-moderated crossover and N-of-1 designs may be systematically optimistic for biomarkers that operate through a correlation-based (Architecture B) mechanism, because they do not account for the carryover sensitivity documented here.

6. Simulation studies for biomarker-moderated treatment effects should explicitly report their DGP architecture and consider sensitivity analyses under the alternative when the biological mechanism is uncertain.

10 Conflict of interest

The authors declare no conflicts of interest.

11 Funding

This work received no specific funding.

12 Data availability statement

The data and code that support the findings of this study are openly available in the pmsimstats-ng project repository. Per-replicate Monte Carlo outputs and ADEMP-compliant cell-level summaries are versioned under `analysis/data/`; simulation drivers are at `analysis/scripts/`. Exact paths for this manuscript are listed in the Reproducibility section below.

13 Reproducibility

This manuscript was rendered with R 4.4.x inside the project's `zzcollab` Docker container (image hash recorded in `Dockerfile`; package set captured in `renv.lock`). Principal packages used by the simulation pipeline are `nlme` (continuous-time linear-mixed analysis with `corCAR1` residual correlation), `parallel` (8-core `mclapply` for parameter-grid sweeps), `data.table` (the original-extended simulation collection), `furrr` and `purrr` (the `tidyverse` simulation collection), and `rmarkdown` plus `bookdown` for the manuscript build.

Random-number generator. The simulation driver sets `set.seed(20260507)` at the top of the replicate loop and uses `parallel::mc.set.seed` inside `mclapply`. Per-replicate seeds derive from the master seed by `+ rep_idx`.

815 **Data and code availability.** Per-replicate simulation outputs are checkpointed
 816 at `analysis/data/quick-sim/01-dgp-replicates.rds`; Morris ADEMP
 817 cell-level summaries are at the companion `01-dgp-summary.txt`. The simu-
 818 lation driver is at `analysis/scripts/quick-sim/01-dgp-prototype.R`. The
 819 manuscript source, bibliography, and SIM CSL file are at `analysis/report/01-dgp-mean-moderation-vs-mvn/`

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